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Case Number: 24STCV07459 Hearing Date: September 16, 2026 Dept: 406

MARIA BRIZUELA,

Plaintiff,

v.

PACIFIC ENERGY NETWORK

LLC, et al.,

Defendants.

Case No.: 24STCV07459

Hearing Date: September 16, 2026

[TENTATIVE]

order RE:

defendant sunlight financial llc's

motion to compel arbitration

BACKGROUND

On March 25, 2024, Plaintiff Maria

Brizuela filed this action against Defendants Pacific Energy Network LLC

(Pacific), Cross River Bank (CRB), and Business Alliance Insurance Company

(BAIC). The dispute involves two contracts: (1) an installation contract

between Plaintiff and Pacific for the installation of solar panels on

Plaintiff's property; and (2) a loan agreement between Plaintiff and CRB to finance the installation. The latter agreement contains an arbitration provision.

On July 1, 2024, the Court granted CRB's motion to compel arbitration and stayed the case as to CRB only.

On November 6, 2025, Plaintiff filed an amendment, naming Sunlight Financial LLC (Sunlight) as Doe 1.

On December 2, 2025, the Court granted a stipulation between Plaintiff and BAIC for Plaintiff to file a First Amended Complaint.

On December 15, 2025, Plaintiff filed the FAC.

On February 20, 2026, BAIC was dismissed pursuant to Plaintiff's request.

On June 16, 2026, Sunlight filed the instant motion to compel arbitration. Plaintiff filed an opposition on September 2, 2026. Sunlight filed a reply on September 9, 2026.

LEGAL STANDARD

"On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists...." (Code Civ. Proc, § 1281.2.) "The party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability." (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236.)

DISCUSSION

I.

Existence of Agreement

a. Proof of Agreement

“The moving party ‘can meet its initial burden by attaching to the motion or petition a copy of the arbitration agreement purporting to bear the opposing party’s signature.’” (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165.) “At this step, a movant need not ‘follow the normal procedures of document authentication’ and need only ‘allege the existence of an agreement and support the allegation.’” (Iyere v. Wise Auto Group (2023) 87 Cal.App.5th 747, 755.)

Here, Sunlight relies on the arbitration provision in Plaintiff’s loan agreement with CRB. The agreement contains an arbitration provision stating that “either party may elect to require arbitration of any Claim under this Provision.” (Ex. 1 at p. 13.) The provision defines a covered “Claim” in the following manner:

any claim, dispute or controversy between you and us (or any Related Party) that arises from or relates in any way to this Note (including any amendment, modification or extension of this Note), the Contractor Agreement, the work performed by the Contractor or a subcontractor; the System, including maintenance and servicing of the System; the arrangements between and among us, Sunlight and the Contractor; any of our marketing, advertising, solicitations and conduct relating to your request for credit or the System; our collection of any amounts you owe; or our disclosure of or failure to protect any information about you.

(Ibid.)

The provision further defines “Related Parties” as “all our parent companies, subsidiaries and affiliates, as well as the Contractor and Sunlight Financial, LLC (which has provided services to Lender and Contractor in connection with this Note) and their parent companies, subsidiaries and affiliates, and our and their employees, directors, officers, shareholders, governors, managers and members.” (Ibid.)

This agreement facially covers the claims asserted by Plaintiff against Sunlight. Sunlight is entitled to enforce

the agreement as a named third-party beneficiary. (See Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324, 1339.) Thus, Sunlight has satisfied its initial burden on the motion.

b. Fraud in Execution

Fraud in the execution of a contract

occurs when a party “is deceived as to the nature of his act, and actually does not know what he is signing, or does not intend to enter into a contract at all.”

(Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 415.) In such a case, “mutual assent is lacking, and [the contract] is void.”

(Ibid.) Fraud in the inducement, by contrast, occurs when “the promisor knows what he is signing but his consent is induced by fraud.”

(Ibid.) In such a case, “mutual assent is present and a contract is formed, which, by reason of the fraud, is voidable.” (Ibid.)

“[C]laims of fraud in the execution

of the entire agreement are not arbitrable under either state or federal law.”

(Rosenthal, supra, 14 Cal.4th at p. 416.) “If the entire contract is

void ab initio because of fraud, the parties have not agreed

to arbitrate any controversy.” (Ibid.) “In the absence of a

contrary agreement, parties to a predispute arbitration agreement are

presumed to have intended arbitration of controversies, including allegations

of fraud in the inducement of the contract generally, that may allow rescission

or reformation of the contract or part of it. They cannot, however, have

intended arbitration under a contract wholly void for fraud in its execution.”

(Id. at p. 417.) “[T]he question of fraud in the execution is for the

trial court to decide.” (Ibid.) The party asserting fraud bears the

burden of proving it by a preponderance of the evidence. (Id. at p.

413.)

Here, Plaintiff argues that the

agreement void for fraud in the execution because “the entire nature and source

of this transaction was concealed from Plaintiff. She was not informed that

SUNLIGHT was the party with whom they were negotiating, that they were paying

SUNLIGHT’s fees in the HIC, that SUNLIGHT predetermined their lender and

financial terms, or that PACIFIC and CRB were the partners of SUNLIGHT. The

entire project is the product of SUNLIGHT’s solar lending program.” (Opp.

6:23-28.) Plaintiff further contends she was “unaware that, even though she

spoke with only one salesperson for both the PVS and financing, the defendants’

intent was to disassociate the Loan from the PVS. The Loan terms require repayment regardless of whether Plaintiff receives a functioning PVS. The terms make the PVS ancillary to selling a Loan and paying SUNLIGHT a Dealer Fee." (Opp. 7:1-5.)

None of these facts are reflected in the evidence submitted by Plaintiff. There is no evidence that Plaintiff did not know what she was signing or did not intend to enter a contract at all. To the contrary, Plaintiff's declaration shows that she understood she was contracting for the installation of solar panels and additionally signing an associated loan agreement with CRB (through Sunlight) to finance the installation. (See Brizuela Decl. ¶¶ 4-5.) Plaintiff avers that the salesman "did not tell me that Sunlight was charging a fee that was included in the price of the system. If I knew that, I would not have signed the Installation Contract or the Loan." (Id., ¶ 8.) However, there is no evidence that anyone misrepresented the total price to Plaintiff, or that Plaintiff was unaware of the amount of the loan she was signing. Plaintiff's ignorance of the precise breakdown of the total amount is not evidence of fraud in the execution.

Moreover, Plaintiff's contention that she would not have signed the loan had she known the price included a fee to Sunlight, at most describes fraud in the inducement, which does not void the arbitration provision. (See Rosenthal, *supra*, 14 Cal.4th at pp. 415-17.) Not being told that a fraction of the price included a fee to Sunlight is not evidence that Plaintiff was deceived as to the nature of the contract or did not intend to enter a contract at all. Plaintiff still knew she was signing a loan, knew what the loan was for, knew the amount, and intended to sign it.

The remaining claims in Plaintiff's declaration similarly do not describe fraud in the execution. Plaintiff avers that she "had never heard of Sunlight or CRB and did not know that financing was available through them." (Brizuela Decl. ¶ 6.) Plaintiff further claims that the salesman "did not tell me who he was applying to. He did not give me an option to choose another lender or an opportunity to shop around for loans. He did not give me an opportunity to negotiate the terms. He had a link for the Loan sent to my phone and told me where to sign." (Id., ¶ 7.) None of this shows that Plaintiff was unaware of what she was signing when she executed the loan agreement, nor does it show that Plaintiff did not intend to enter a contract at all. Plaintiff may not have been aware of other lending options, and may not have been able to negotiate the terms of the loan, but she still

knew what she was signing and intended to sign it.

The declaration of Plaintiff's

counsel is equally unhelpful. The only documentary evidence consists of a rate sheet and an investment brochure. (Valdez Decl., Ex. 4, 5.) This does not demonstrate fraud in the execution of the particular loan agreement at issue. Plaintiff's counsel also notes that Sunlight has been sued in other states in connection with its lending program. (Id., ¶ 5.) However, these unrelated and nonbinding cases have no bearing on the particular loan agreement at issue in this case. Lastly, Plaintiff's counsel avers that there was no itemization of costs and that the price was, in his assessment, "extremely high." (Id., ¶ 6.) This has no bearing on fraud in the execution. An unfair price is not evidence that Plaintiff was deceived as to the nature of the contract or did not intend to enter the contract. Plaintiff does not contend that the amount was misrepresented.

In sum, Plaintiff has failed to prove fraud in the execution by a preponderance of the evidence. As a result, the Court finds that an arbitration agreement exists which covers the claims against Sunlight.

II.

Unconscionability

Unconscionability has both a procedural and a substantive element. (Aron v. U-Haul Co. of California (2006) 143 Cal.App.4th 796, 808.) Both elements must be present for a court to invalidate a contract or clause. (Ibid.) However, the two elements need not be present in the same degree; courts use a sliding scale approach in assessing the two elements. (Carbajal v. CWPSC, Inc. (2016) 245 Cal.App.4th 227, 242.)

a. Procedural Unconscionability

Procedural unconscionability "focuses on two factors: 'oppression' and 'surprise.' 'Oppression' arises from an inequality of bargaining power which results in no real negotiation and 'an absence of meaningful choice.' 'Surprise' involves the extent to which the supposedly agreed-upon terms of the bargain are hidden in the prolix printed form drafted by the party seeking to enforce the disputed terms." (Zullo v.

Superior Court (2011) 197 Cal.App.4th 477, 484, internal citations omitted.)

Plaintiff argues that the agreement was procedurally unconscionable because she had no opportunity to negotiate it. However, Plaintiff has no evidence that she could not negotiate the loan terms. Plaintiff's claim that the salesman "did not give me an opportunity to negotiate the terms" is vague. (See Brizuela Decl. ¶ 7.) There is no indication that Plaintiff attempted to negotiate or was prevented from doing so. Moreover, Plaintiff did not have to enter into the loan agreement. The fact that the salesman did not affirmatively identify alternative options for Plaintiff does not mean Plaintiff was prevented from seeking other lending options. Plaintiff also did not have to obtain a loan at all or purchase solar panels at all. Lastly, even if the contract were adhesive, that would only present a minimal degree of procedural unconscionability. (See *Serpa v. California Surety Investigations, Inc.* (2013) 215 Cal.App.4th 695, 704.)

Plaintiff also argues that material terms of the loan were concealed from her. However, as discussed above, Plaintiff lacks evidence of these contentions. Moreover, this has no bearing on the validity of the arbitration provision. On a motion to compel arbitration, unconscionability must pertain to the arbitration provision. (*Moncharsh v. Heily & Blase* (1992) 3 Cal.4th 1, 29.) Disputes over the validity of the larger contract are themselves subject to arbitration. (*Ibid.*)

In sum, the Court finds no procedural unconscionability.

b. Substantive Unconscionability

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create overly harsh or one-sided results as to shock the conscience. (*Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1515.)

Plaintiff's only point here is that the Court already found a small degree of substantive unconscionability in the same agreement when it granted CRB's motion to compel arbitration. But the Court also found no procedural unconscionability in the prior motion and does so again on this motion. Therefore, there is insufficient unconscionability to

invalidate the agreement, and the agreement remains enforceable.

III.

Reconsideration

Plaintiff's opposition contains a request to reconsider the Court's order granting CRB's motion to compel arbitration. Such a request is not properly made in opposition to a different party's motion. Moreover, Plaintiff presents no new facts, circumstances, or law to justify reconsideration. (See Code Civ. Proc., § 1008.) Therefore, reconsideration is unwarranted.

IV.

Discovery

Plaintiff argues that the motion should be continued to permit additional discovery. However, Plaintiff fails to identify any discovery that would alter the result of this motion. The existing record is dispositive. Therefore, a continuance is not warranted.

CONCLUSION

Defendant Sunlight Financial LLC's motion to compel arbitration is GRANTED.